

In this case, price breaks out downward from the head-and-shoulders top, drops to J, and then rises. The low at J is 14.60, so a 20% rise is 17.52. A close at 17.52 or higher will end the search for the ultimate low.

When price closes at K (at or above 17.52), the search for the ultimate low is over. We've found the ultimate low, which is J.

If K was a bit higher, then rule 2 would come into play. That's because price would close above the top of the head-and-shoulders, stopping the search for the ultimate low.

In this example, we are trading this head-and-shoulders perfectly. We are entering the trade at the opening price the day after a downward breakout, and we are closing it out at the ultimate low, the lowest low before price rises. A perfect trade. We are testing how well this chart pattern works. We're not testing stop-loss order placement or MACD or a moving average crossover scheme.

The performance of most of the chart patterns in this book follows these two ideas: the ultimate high and the ultimate low. For bullish patterns, I look for the ultimate high. For bearish patterns, I look for the ultimate low.

Chart Pattern Failures

Once you understand what a perfect trade means, you can look for failures. What does it mean when a chart pattern fails? To answer that, I had to invent a new concept, which I call the *breakeven failure rate* or the *5% failure rate*. Those two phrases are synonyms. All I did was count how many chart patterns failed to see price rise or decline more than 5%.

In a bull market, for example, I found that 18.8% of head-and-shoulders top patterns failed to see price drop more than 5%. If your cost of trading is 5%, then you'll know that nearly 20% of head-and-shoulders you trade, if you trade them perfectly and often enough, will fail to cover your costs.

Realistic?

So there you have it. Once you understand that I'm measuring performance from the breakout price to the ultimate high or low, then you'll understand